



SPONSOR: Sen. Mantzavinos & Rep. Bush
Sens. Poore, Walsh, Wilson; Rep. D. Short

DELAWARE STATE SENATE
153rd GENERAL ASSEMBLY

SENATE BILL NO. 45

AN ACT TO AMEND TITLE 11 OF THE DELAWARE CODE RELATING TO INSURANCE FRAUD.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE (Two-thirds of all members elected to each house thereof concurring therein):

Section 1. Amend Chapter 5, Title 11, of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 913B. Application insurance fraud; class G felony; class A misdemeanor.

(a) A person is guilty of application insurance fraud when, with the intent to injure, defraud, or deceive any insurer the person does any of the following:

(1) Presents or causes to be presented to any insurer, any written or oral statement including computer-generated documents as part of, or in support of, any application to obtain or renew insurance, knowing that such statement contains false, incomplete, or misleading information concerning any fact or thing material to such application.

(2) Assists, abets, solicits, or conspires with another to prepare or make any written or oral statement that is intended to be presented to any insurer in connection with, or in support of, any application to obtain or renew insurance, knowing that such statement contains any false, incomplete, or misleading information concerning any fact or thing material to such application.

(3) Makes false or fraudulent statements or representations on or relative to an application for an insurance policy for the purpose of obtaining a fee, commission, money, or other benefit from any insurers, agent, broker, or individual.

(b) Application insurance fraud under this section is a class G felony if the aggregate value of property, services, or other benefit wrongfully obtained or sought to be obtained is at least \$1,000. Otherwise, application insurance fraud under this section is a class A misdemeanor. Each act of application insurance fraud shall constitute an additional, separate and distinct offense, except that 5 or more separate acts may be aggregated for the purpose of establishing liability pursuant to this section. Multiple acts of application insurance fraud which are contained in a single application or other document shall each constitute an additional, separate and distinct offense for purposes of this section.

23 (c) Proof that a person has signed or initialed an application or other document submitted in support of an
24 application for insurance may give rise to an inference that the person has read and reviewed the application or other
25 document.

26 (d) For purposes of this section, “insurer” shall include a health service corporation, health maintenance
27 organization, or managed care organization, and “insurance” shall include benefits provided pursuant to subscriber
28 contracts of health service corporations, health maintenance organizations, and managed care organizations.

SYNOPSIS

This bill adds a new crime of application insurance fraud under the criminal code to include fraudulent statements submitted in support of an application to obtain or renew insurance or made for purposes of obtaining a commission or other payment from an insurer. This bill makes application-related insurance fraud a class A misdemeanor unless the benefits wrongfully obtained or sought to be obtained is at least \$1,000, in which case application insurance fraud is a class G felony.

Author: Senator Mantzavinos